

Riverside Christian Academy - Loan Readiness Report

SchoolStack Budget Consultant Analysis

Executive Summary

Riverside Christian Academy projects \$5,259,877 in Year 5 revenue with a 44.7% net margin. The model tells a strong financial story with 12 of 13 key metrics in healthy range, a great foundation for your mission.

Lender Readiness Assessment

 **Ready to share — keep polishing the narrative.**

This model demonstrates strong financial fundamentals: a clear path to net income, controlled costs, a sustainable revenue mix, and adequate debt coverage. Your projections are grounded and achievable.

Key Financial Metrics

Metric	Value	Status	Interpretation
Revenue per Student (Year 1)	\$11,759	' Good	Healthy per-student revenue provides a solid foundation for sustainability.
Cost per Student (Year 1)	\$8,877	' Good	Total cost per student is \$8,877, well within revenue per student of \$11,759, leaving a healthy margin.
Staffing Cost (% of Revenue)	53.8%	' Good	Staffing costs are well-controlled, giving you room for other priorities.
Operating Cost (% of Revenue)	16.5%	' Good	Operating costs are lean relative to revenue.
Net margin (Year 1)	24.5%	' Good	Year 1 shows a healthy surplus, a strong start for a new school.
Net margin (Year 5)	44.7%	' Good	By Year 5 the model shows strong net income, and your school is on track for financial sustainability.
5-Year Revenue Growth	123.7%	' Good	Strong projected revenue growth over the 5-year period.
Capacity Utilization (Year 5)	100.0%	' Good	Year 5 enrollment approaches facility capacity, an efficient use of space.
Days Cash on Hand (Year 1)	143 days	' Good	Cash reserves cover 90+ days of expenses — a strong liquidity position.
Cash Trough (Minimum Cash Month)	Month 1: \$911	& Warning	Your lowest cash point is Month 1 at \$911. Lenders look at this to make sure you won't run out of money before tuition collections start. Consider building reserves.
Debt Service Coverage Ratio (Year 1)	6.27x	' Good	DSCR is above 1.25x, and your operating income comfortably covers debt payments.
Philanthropy (% of Revenue)	5.3%	' Good	Philanthropy supplements earned revenue — a healthy mix.

Operating Reserve (Year 5)

29.6 months

' Good

By Year 5, the school has built a healthy operating reserve of 3+ months, a strong foundation for long-term stability.

Strengths & Risks

Biggest Strength

Strong Year 5 net income

Biggest Risk

No major red flags detected, so continue refining assumptions as you gather real data.

Recommendations

Priority	Recommendation	Details
LOW	Plan for Tuition Collection & Discount Risk	Private schools face collection risk from late payments, withdrawals, and financial aid shortfalls. With 95.3% of revenue from tuition, build a 5–10% bad debt reserve into your budget. Factor in tuition discount rates for merit/need-based aid and maintain clear enrollment contracts with payment terms.
HIGH	Address Cash Reserve Deficit from Prior Year	Last year ended with \$120,000 in cash, only 0.7 months of expenses. Building reserves to 3+ months should be a priority. Consider a bridge line of credit while growing into net income.
LOW	Document Your Growth Strategy	Great projections are backed by a clear plan. Document your marketing strategy, enrollment pipeline, and community outreach, as this is the roadman that turns your numbers into reality.

Revenue Composition

Year	Tuition & Fees	Public Funding	Philanthropy
Year 1	95.3%	0.0%	5.3%
Year 2	96.4%	0.0%	4.2%
Year 3	97.2%	0.0%	3.3%
Year 4	97.7%	0.0%	2.8%
Year 5	98.1%	0.0%	2.5%

Cost Structure

Year	Staffing % of Rev	Facility % of Rev	Total OpEx % of Rev
Year 1	53.8%	1.5%	16.5%
Year 2	48.8%	1.2%	14.9%
Year 3	45.5%	1.0%	13.5%
Year 4	42.9%	0.9%	12.7%
Year 5	40.9%	0.8%	12.1%

Cumulative Financial Trajectory

Year	Cumulative Net Income	Reserve (Months)
Year 1	\$576,259	3.9 months
Year 2	\$1,540,476	9.1 months
Year 3	\$2,953,049	15.2 months
Year 4	\$4,816,252	22.1 months
Year 5	\$7,168,811	29.6 months

Stress Test Scenarios

Scenario	Y1 Net Income	Final Net Income	Break-Even	Reserve (mo)	Y1 DSCR	Runway (mo)
Enrollment 20% Below Plan	\$443,518	\$1,809,399	Y1	27.2	5.06x	60+
Loss of Philanthropy	\$572,688	\$2,343,987	Y1	30.8	6.24x	60+
Hard revenue only	\$572,688	\$2,343,987	Y1	30.8	6.24x	60+
Occupancy +15%, Personnel +5%	\$616,851	\$2,336,108	Y1	29.7	6.64x	60+
Revenue Delayed 3 Months	\$160,657	\$1,241,518	Y1	14.7	2.47x	60+
Interest Rate +2%	\$677,800	\$2,454,099	Y1	32.8	6.25x	60+